Transaction 3.6

Prepare P&L Statement and Balance Sheet from the following Trial Balance for the period ending 31st march 2020:

Particulars	Debit Rs	Particulars	Credit Rs
Cash	10,000	Sales	1,80,500
Stock	40,800	Returns	195
Wages	22,525	Loan at 12% (on 1.7.2019)	20,000
Purchases	1,30,295	Creditors	30,305
Returns	2,400	Discount	530
Repairs	1,675	Capital	37,500
Bad debts	2,310		
Interest on Loan	600		
Salaries	8,000		
Wages	800		
Octroi	500		
Insurance	1,000		
Charity	125		
Rent	2,000		
Machinery	16,000		
Debtors	30,000		
	2,69,030		2,69,030

Adjustments

a) Wages include Rs 2,000 for erection of new machinery on 1.4.2019.
b) Stock on 31st March 2020 was Rs 40,925
c) Provide depreciation on machinery @5% p.a.
d) Salaries unpaid Rs 800

e) Debtors include Rs 800 to be receivable from Shyam, half of the amount is irrecoverable.
f) Create a provision of 5% on debtors
g) Rent paid up to 31st July 2020.
h) Insurance unexpired Rs 300